control over Indian monetary and exchange policies by depoliticizing them.'[22]

It was an article of faith with Montagu Norman that central banks should be 'non-political' and he was an active mover behind the Genoa and Brussels resolutions. The Hilton Young Commission had recommended a privately owned RBI whose management would be independent of the government. But Cecil Kisch, Secretary of the Finance Department, when deposing before the Commission said that the Genoa and Brussels resolutions were not relevant to India and emphasized that the central bank had to be closely associated with government, if not under its direct control. By government Kisch no doubt meant the India Office and it is obvious that at the time of the Commission the India Office had no use for 'subversive ideas like independent central banking.'[23] The Commission sensing that Whitehall's control over India's monetary policies could soon become indefensible, and that an independent central bank was necessary as India moved towards greater popular rule, made the recommendations it did. While the recommendations of the Commission were not to the liking of the India Office, it got its chance to obstruct the scheme when it was given the task of overseeing the legislative and other measures needed to bring the bank into existence. Within weeks of the report, Hilton Young complained to Otto Niemeyer at the Treasury about the India Office's obstructive attitude. Niemeyer agreed with Hilton Young that the central bank would 'stick in the gullet of the India Office'[24]

The India Office though unable to openly oppose the scheme sabotaged it in subtle ways. Aware of the fact that non-official Indian opinion wanted close links between the government and the bank, it became inflexible in its insistence upon universally accepted central banking principles; and the harder Indian politicians pressed for a government presence, the more it emphasized that only an 'independent central bank' could eliminate government and political intervention. Kisch, who only a few months ago, had deposed to the contrary, announced his conversion by writing a book on the merits of the Genoa and Brussels resolutions for an independent bank, a posture which Balachandran says was 'really part of a determined rear-guard action to stall the formation of the Reserve Bank.'[25] By rigidly enforcing its opinion that no legislation was better than one which did not